

Project Title: Impact Metrics for the Rural Business Process Outsourcing Industry

Overview

Impact Sourcing is a business practice where a company prioritizes suppliers that intentionally hire and provide career development opportunities to people who otherwise have limited prospects for formal employment (GISC). We venture to design impact metrics for the organizations that set up the BPO (Business Process Outsourcing) industry in rural areas, as the individuals from these regions have lower prospects of employment.

Impact sourcing has experienced significant growth between 2021 and 2023, with the number of full-time equivalents (FTEs) increasing from 340,000–360,000 in 2021 to an estimated 420,000–450,000 in 2023, representing a compound annual growth rate (CAGR) of 11–15%. The consistent increase highlights a growing demand for impact sourcing, driven by its appeal as a socially responsible and scalable workforce solution for businesses. (Everest Group, 2023).

Generally, the rural youth are compelled to migrate to the urban areas to work in the skilled sector, be self-employed, or do unskilled labor available in the region. This either leads to migration of the rural population to urban areas or underemployment in the rural areas, when the youth prefer to work in the rural areas in jobs that do not utilize their full potential. Impact sourcing plays a crucial role in changing the employment landscape in rural areas by establishing IT and IT-enabled services in rural areas.

In the impact sourcing sector, metrics are available as self-assessment tools to evaluate the impact sourcing based on Employee satisfaction (ESAT), employee Net Promoter Score (e-NPS), retention rates and average tenure, career advancement opportunities, and client satisfaction rate that focus on company level individually (BSR GISC). Our venture is aimed at interventions through metrics to evaluate the impact sourcing in rural areas in the form of reduced poverty rate and women empowerment. By doing so, we aim to expand the scope of existing metrics within the realm of rural BPO operations. Our organization will leverage impact metrics as a key intervention to achieve the desired outcomes of maximizing youth employment and fostering economic development in rural regions.

Data Gap Analysis

Currently, two key frameworks guide impact measurement in rural business process outsourcing (BPO) organizations:

1. Performance Measurement for Impact Employment Framework by GIIN, supported by The Rockefeller Foundation, focuses on job creation, employee demographics, and career progression but lacks metrics that evaluate broader regional outcomes, such as poverty reduction or economic spillover effects.
2. Impact Sourcing Standard (ISS) by BSR provides self-assessment tools for individual organizations, focusing on metrics like retention rates and employee satisfaction. However, it fails to capture systemic changes such as financial independence for women or regional economic growth.

While these frameworks are valuable, they focus primarily on organizational metrics, leaving critical societal impacts unaddressed. For example, they do not assess how rural BPO initiatives influence poverty alleviation, local economic growth, or gender equity at a community level—key elements for transformative change in disadvantaged regions.

To address these gaps, our approach introduces enhanced metrics to evaluate:

- Changes in Poverty Rates: Capturing regional-level economic impacts.
- Women's Financial Empowerment: Assessing income stability, career advancement, and broader societal effects.

By incorporating advanced statistical analysis, such as Difference-in-Differences and Event Studies, our metrics provide a more comprehensive view of impact sourcing. This approach equips policymakers, investors, and stakeholders with actionable insights to drive meaningful support for rural BPO development.

Intended Audience

Primary Audience:

1. Policymakers and Government Bodies

Decision informed: where to allocate resources and funding to address poverty reduction and gender empowerment effectively. Consideration to provide incentive to drive the development of rural BPO, for example tax incentives.

Nature of evidence:

- Quantitative data on poverty rates before and after the implementation of rural BPO initiatives, with clear regional and demographic breakdowns.
- Data on the percentage of women employed and their income growth compared to baseline levels.
- Case studies highlighting success stories of individuals or communities benefiting from rural BPO programs.

2. Development Financial Investors

Decision informed: Which rural BPO initiatives or regions to prioritize for funding based on their potential for measurable impact and whether to scale up or replicate successful models of rural BPO operations in other underserved areas.

Nature of evidence: Impact metrics demonstrating reductions in poverty and increases in economic empowerment for women in rural areas.

Secondary Audience:

1. Rural BPO Organizations

Decision informed: using metrics to identify areas where efficiency, training, or resource allocation could be improved

Nature of evidence: metrics on employment, gender equity, and income growth within their operations.

2. Private Investors (Impact Investors)

Decision informed: Whether to invest in rural BPO initiatives based on their social impact potential in reducing poverty and empowering women; and which organizations or regions align best with their investment goals for social and financial returns.

Nature of evidence: Data on measurable outcomes, such as reductions in poverty levels and the proportion of women employed in rural BPOs.

3. Organizations Advocating for Rural Development

Decision informed: How to strengthen their campaigns and advocacy efforts to promote rural BPO initiatives as a solution for poverty and gender inequality.

Nature of evidence: Impact stories, testimonials, and metrics showcasing the success of rural BPOs in poverty reduction and women empowerment.

4. Companies that Use Rural BPO Services

Decision informed: Whether to continue or expand partnerships with rural BPOs as part of their CSR or ESG initiatives.

Nature of evidence: Metrics showing the direct and indirect social benefits of their outsourcing decisions, such as poverty reduction and women empowerment in the regions they engage with.

Theory of Change

The impact metrics is the intervention used to bring out the expected outcome in the impact sourcing sector. Our organization designs the impact metrics and indicators, and its work catalyzes downstream actions of other actors to improve the impact sourcing sector in serving the community.

Table 1. Theory of Change

Inputs	Activities	Output	Outcome	Impact
Funding (grants, investments)	- Design region-specific impact metrics for rural BPOs	- Region-specific metrics validated and collected	- Detailed evaluation of measurable reductions in poverty levels,	- Reduction in poverty levels in rural areas

Inputs	Activities	Output	Outcome	Impact
Skilled personnel (data analysts, statisticians, field workers)	- Conduct baseline and follow-up household surveys	- Reports generated on key metrics, including poverty rates, and women's employment	improved economic growth in rural areas, and the broader social and economic benefits driven by BPO operations	- Significant increase in household income and economic activity
Technology infrastructure (dashboards, data collection tools)	- Develop real-time dashboards for data tracking	- Dashboard launched for stakeholders	- Increased women's workforce participation and financial independence	- Enhanced financial stability for women
Partnerships with local organizations and government bodies	- Host workshops for BPO leaders, policymakers, and investors - Advocate for supportive policies, such as tax incentives	- Stakeholder workshops conducted, engaging BPO leaders and policymakers	- Evidence-based decision-making by BPO leaders and policymakers	- Long-term sustainable rural development - Reduction in migration to urban areas

Our theory of change positions impact metrics as the central intervention to transform rural business process outsourcing (BPO) into a catalyst for poverty reduction and women's empowerment. By developing and deploying region-specific impact metrics, we aim to provide actionable data that will directly inform decisions made by key stakeholders, including policymakers, development financial investors, and private organizations.

Core Assumptions:

- **Data Drives Action:** Reliable and comprehensive metrics enable stakeholders to identify gaps, allocate resources effectively, and monitor progress.
- **Alignment of Interests:** Metrics create a shared understanding among stakeholders, fostering alignment in goals such as poverty alleviation and economic inclusion.
- **Capacity Building through Evidence:** Equipping BPO leaders and policymakers with evidence-based insights can improve operational efficiency and policy frameworks.

The impact metrics we develop will catalyze downstream actions by:

- **Build Awareness:** By publishing accessible data visualizations and success stories, we will increase the visibility of rural BPO benefits.
- **Influence Behavior:** Metrics will provide clear incentives for companies to adopt rural BPO practices as part of their CSR and ESG initiatives.
- **Enhance Accountability:** Policymakers and organizations will be equipped to track progress, identify shortfalls, and adjust interventions in real-time.
- **Drive Investment:** Tangible evidence of socioeconomic benefits will attract private and public funding for rural BPO initiatives.

Prioritization of Data/Metrics and Measurement Approach

Framework for Prioritization

The metrics are prioritized based on:

1. **Relevance to Stakeholder Decisions:** Metrics are chosen to address the specific questions stakeholders are asking, such as resource allocation, investment feasibility, and policy design.
2. **Feasibility of Data Collection:** Metrics that can be reliably measured through household surveys, organizational reports, or secondary data sources are given priority.
3. **Potential for Impact:** Metrics that demonstrate clear, actionable outcomes, such as poverty reduction and gender equity, are prioritized to drive sustained stakeholder engagement.

Impact metrics designed to evaluate the impact sourcing model with the goal of measuring our targeted mission achieved on the following lines:

- Reduction in poverty rate in the rural areas

A. Income and Employment Indicators:

a. Average Household Income Increase:

- i. Measure the percentage increase in household income of participants compared to a baseline.
- ii. Track changes in income stability over time.

Audience relevance: Policymakers can use this data to allocate resources and assess tax incentive effectiveness, while development financial investors use it to measure economic outcomes of funded initiatives.

- b. **Employment Rate:** Percentage of individuals in rural areas employed through impact sourcing compared to pre-intervention levels.

Audience relevance: Essential for both policymakers and investors (development & impact investors) to evaluate the success of BPO initiatives in creating sustainable employment opportunities.

- c. **Reduction in Income Inequality:** Use Gini coefficient to measure income distribution changes within the community.

Audience relevance: Informs both advocacy groups and policymakers on the broader societal impact of rural BPO.

- Empowerment of women in the region

A. Economic indicators:

- a. Employment Participation Rate for Women: Percentage of women employed or engaged in income-generating activities compared to pre-intervention levels.

Audience relevance: Policymakers and advocacy organizations can use this metric to design gender-inclusive policies and campaigns.

- b. Women's Income Contribution: Measure women's contribution to household income and assess changes in their financial independence.

Audience relevance: Impact investors and rural BPO organizations can leverage this metric to showcase the socioeconomic benefits of their initiatives.

- c. Access to Resources: Evaluate women's access to credit, training, or technology provided through the impact sourcing model.

Audience Relevance: This metric provides policymakers with insights into gaps in resource accessibility, enabling targeted policy interventions, while investors and advocacy organizations can use it to demonstrate and amplify the socioeconomic impact of empowering women through resource access.

B. Social Indicators:

- a. Decision-Making Power: Percentage of women reporting increased influence in household financial and social decisions.

Audience relevance: Directly informs policymakers and advocacy groups about women's empowerment at the household level, aiding in resource allocation and program design.

- b. Participation in Community Leadership: Number of women holding leadership roles in local organizations or governance structures.

Audience relevance: Highlights the success of initiatives aimed at increasing women's roles in governance and local organizations, guiding policy and investment decisions.

- c. Training Participation Rates: Percentage of women who receive training in technical or business skills through the rural BPO model.

Audience relevance: Policymakers and organizations can use this data to assess workforce readiness, while investors can evaluate the impact of training on employability and economic outcomes..

- d. Reduction in Gender-Based Discrimination: Surveys on perceptions of gender roles and opportunities for women in the workplace and community.

Audience relevance: Policymakers can design anti-discrimination laws and equity campaigns, organizations can improve workplace inclusivity, and advocacy groups can drive awareness to shift societal norms.

By measuring these metrics regularly, a comprehensive understanding of the model's effectiveness in reducing poverty and empowering women can be achieved. This can lead to secondary potential impacts like reduction of migration to urban areas, decongestion of the urban areas, and increased economic development of the rural areas.

Data Collection Approach

The metrics can be modeled along the same lines for both segments of stakeholders; however, the scale of the data varies. The metrics can be measured in two ways based on the requirements of the stakeholders:

- For Policymakers and Development Financial Investors: To evaluate the regional impact of rural BPO initiatives, data will be collected through baseline and follow-up household surveys, focusing on poverty rates, per capita income, and gender ratios in organized sector employment. This will be complemented by secondary data from government statistical departments
- For rural BPO organizations, impact investors, organizations advocating for rural development, and companies that use rural BPO services: At the organizational level, data will be collected from beneficiaries and organizational records, focusing on metrics such as training participation rates, workplace inclusivity, and individual income growth.

Study Design

To make the evidence compelling the study can be conducted in a three-pronged approach:

Difference-in-difference analysis: The study will be conducted by difference-in-difference analysis to compare the difference of impact in the regions of implementation of impact sourcing with other regions which had parallel trends of growth trajectory. This study focuses on core metrics like employment rate, average household income, and women's income contribution.

Event-study design: The study will be conducted using Event-study design to evaluate the impact sourcing model by studying the metrics before and after implementation of the program. This study captures nuanced changes in economic improvement and gender-based metrics like decision-making power and leadership participation.

Organizational level study: The event-study design can be scaled to the individual organization level to cater to the impact sourcing organizations, investors, and suppliers. This study focuses on organizationally actionable metrics like training participation rates and workplace inclusivity.

These three methods are used together because:

- **Comprehensiveness:** DiD captures broad regional impacts, event-study uncovers temporal dynamics, and organizational-level studies provide micro-level insights.
- **Feasibility:** These methods require varying but manageable data sources (e.g., administrative records, surveys) and complement one another to address different facets of the program.
- **Causal Inference:** Together, they balance internal validity (e.g., DiD assumptions) with external validity (generalizability from event and organizational studies).

Organization and Management, and Risk Management

Vision and Mission

Vision:

Rural areas with reduced poverty, women empowerment, and sustainable economic development.

Mission:

To design and implement region-specific metrics through impact sourcing industry in underdeveloped rural areas that provide actionable insights for policymakers, investors, and BPO leaders. (BSR GISC)

Team Composition

Core Team:

Metrics Design Specialists: Develop and refine region-specific metrics.

Data Analysts: Collect and process survey and dashboard data.

Policy Advocates: Engage with governments and policymakers.

Community Engagement Officers: Liaise with rural stakeholders

Advisory Board: Experts in impact sourcing, rural development, and gender equity to provide strategic guidance.

Operational Plan

Year 1: Pilot and Development

- Develop region-specific metrics and validate them in 2 pilot regions (e.g., Bihar and Tamil Nadu).
- Build partnerships with local governments and NGOs.

Year 2–3: Expansion

- Refine metrics and scale to 3 additional regions (e.g., Rajasthan, Jharkhand, and Andhra Pradesh).
- Launch real-time dashboards and automated feedback systems.

Year 4–5: National Scaling

- Publish annual impact reports to showcase measurable progress.
- Advocate for the inclusion of region-specific metrics in national rural development policies.

Risk Management

Risk	Description	Mitigation Strategy
Data collection challenges	Difficulty in gathering accurate and reliable data due to limited infrastructure or logistical issues.	- Partner with local NGOs and government agencies for data access. - Use mobile-based survey tools. - Train local enumerators to ensure accuracy and trust.
Observer Bias	Data collection and interpretation in the rural setup, adds uncertainty about data quality and chances of unintended data biases like caste and class differences creeping into the data.	- Engage third party to collect data or ensure the data collectors are from different regions to avoid any bias. - Ensure the data collectors are from varied backgrounds and have professional skills to avoid any bias.
Confusing Correlation and Causation	Without proper causal evaluation methods, observed changes in metrics like poverty reduction or women's empowerment could be wrongly attributed to the program.	Employ robust causal inference methods like Difference-in-Differences (DiD) and include control variables to account for external factors. This ensures the study identifies the true causal impact of the intervention.
Resistance from stakeholders	Lack of buy-in from policymakers, BPO leaders, or community members due to perceived complexity.	- Conduct workshops to demonstrate metric value. - Share case studies from successful pilots. - Develop user-friendly tools like dashboards.
Financial sustainability	Insufficient funding, especially during pilot phases or regional expansion.	- Diversify funding sources (grants, partnerships, revenue streams). - Offer consulting services and subscriptions. - Optimize operational costs with scalable technology.
Technological barriers	Limited internet connectivity or digital literacy in rural regions hinder tool adoption.	- Use offline-capable tools that sync when connectivity is available. - Provide digital literacy training for stakeholders. - Collaborate with government programs to improve connectivity.
Political and regulatory risks	Changes in government policies or priorities affecting operations in target regions.	- Build relationships with policymakers at all levels. - Align goals with government priorities. - Diversify focus regions to mitigate

Risk	Description	Mitigation Strategy
		reliance on a single regulatory environment.
Data privacy and security	Potential breaches of sensitive data or non-compliance with data protection laws.	- Implement strong encryption and secure storage systems. - Ensure compliance with relevant data laws. - Educate stakeholders about privacy measures.
Scalability challenges	Difficulty scaling across diverse regions with varying socio-economic contexts.	- Pilot metrics in a few regions, refine them, and scale gradually. - Develop modular, customizable metrics frameworks. - Partner with local organizations for efficient expansion.
Community engagement risks	Low participation or resistance from rural communities due to mistrust or lack of understanding.	- Engage community leaders to build trust. - Use participatory approaches like focus groups. - Highlight tangible benefits to encourage participation.

Conclusion

Our organization's intervention of impact metrics is target oriented and it could demarcate the path of impact sourcing sector to reach the Vision of the organization of economic development through poverty reduction and women empowerment in rural areas. Efforts are taken to ensure data collection is without bias and study design is customized to suit the needs of the community. Operation of the strategy is planned meticulously and coordination planned with the stakeholders to effectively bring about impact in the rural areas. We are hopeful that this impact metric intervention will lead to the desired impact.

References

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